candidature in the presidential elections of 2012, had attacked the then Fed chairman, Bernanke, charging him of printing money to play politics, which according to him, amounted to ‘nothing less than treason’!

Most political systems would deem such a harsh attack as being outrageous, but strangely the US political system took that in its stride and moved on. In India, in particular, it is inconceivable that any politician would attack the Reserve Bank so sharply, which is a tribute not just to the Reserve Bank but also to our political institutions. Recall that during the campaign for the Parliament elections in 2014, even a hint that the highly regarded Governor Raghuram Rajan could be replaced should a Bharatiya Janata Party (BJP) government come into office, was widely criticized for embroiling the office of the governor of the Reserve Bank in electoral politics.

Autonomy Battles Beyond Monetary Policy

The Reserve Bank’s battles for autonomy on my watch extended beyond purely monetary policy issues into other domains. By far the most high profile of these, although it was not as dramatic as depicted in the media, came in the context of an ordinance issued by the government setting out a procedure for resolving disputes between financial sector regulators. The trigger for this was a spat between the Securities and Exchange Board of India (SEBI) and the Insurance Regulatory Development Authority (IRDA) in April 2010 on the jurisdiction over regulating ULIPs.

After due deliberation, the government determined that the resolution of the dispute required a statutory change. But instead of just restricting the legal change to this specific dispute, the proposed legislative amendment sought to establish a generalized mechanism of a joint statutory panel under the chairmanship of the finance minister to resolve all future disputes between regulators. I was given to understand that it also became necessary to amend the Reserve Bank Act in the process to make the amendment consistent with all existing laws. As Parliament was in recess, the government issued an ordinance to settle the dispute on hand without delay.